SUMMARY · MK 5 DECISION MAKING & NEGOTIATION · WEEK 10

Rational Negotiation and Stakeholder Analysis

This week starts from the golden rule of negotiation: people will negotiate with you only if they believe you can help them (you have something they need) or hurt them (you have something they fear). Examples are the hitchhiker and a late food-delivery order. Then stakeholder analysis with the power–interest grid: players (work closely), context setters (keep satisfied), subjects (keep informed) and the crowd (minimal effort), with power and interest indicators. The example is setting up a Koperasi Desa Merah Putih (KDMP, a village cooperative) in Sawah Makmur Village and Pak Sarwono's negotiation steps. Next come the four negotiation traps: lose-lose (leaving money on the table), the winner's curse, hubris and agreement bias. Rational negotiation combines the integrative approach (growing the pie) and the distributive approach (claiming a share). It closes with Mrs. Lee's leave case.

Material

1 The golden rule: you can help or you can hurt

The golden rule of negotiation
People won't negotiate with you unless they believe you can **help** them (you have something they need) or **hurt** them (you have something they fear).

Hitchhiker 1: nobody stops

You walk in the heat hoping someone will give you a ride. Most drivers won't. You're weak: you can't help them and can't hurt them → no reason to negotiate with you.

vs

Hitchhiker 2: someone stops to ask directions

You need a lift; they need directions and information. You can help by giving the right directions → negotiation can happen.

The food-order case (before services like GoFood): friends are visiting and you order dinner by phone. The restaurant promises 1 hour 15 minutes, but after

more than 2 hours the food hasn't come. You want compensation.

	Help	Hurt
Us → restaurant	Pay in full with a smile; keep using their service; recommend them to others	Cancel the order; delay payment; refuse the food; keep them on the phone; call a consumer-protection body; stop payment on the cheque; tell others about the poor service
Restaurant → us	A discount on this or a future order; free appetisers or drinks; a special table next time; apologise and promise it won't happen again	Refuse our bill (won't serve); refuse to serve us again; report us to the restaurant association (banning); report us as a bad credit risk

≡ **A good agreement**

We accept the food and pay; the restaurant gives a discount on this order plus free drinks; we don't spread a bad review. Both sides use their power to help more than their power to hurt, so the relationship survives.

2 Stakeholder analysis: the power–interest grid

Who do we need to negotiate with? Map each stakeholder by **power** (how strongly it can approve or cancel) and **interest** (how much the decision affects its daily life and operations).

↕ Top row: high interest · bottom: low interest

Subjects
Low power · high interest → **keep informed**

Players
High power · high interest → **work together closely**, negotiate directly

Crowd
Low power · low interest → **minimal effort**

Context setters
High power · low interest → **keep satisfied**

↔ Left column: low power · right: high power

Power indicators	Interest indicators
1 · Legal/decision authority: sign-off rights, budget approval, regulatory control	**1 · Direct economic impact:** on daily income, profit margins or debt
2 · Resource control: ownership of land, grant/loan funds, production assets	**2 · Access to public facilities:** disruption or improvement to daily routines
3 · Market/social influence: control over local supply chains or public opinion	**3 · Emotional involvement:** readiness to act, speak up or protest

! **The grid moves**

Positions can change. Subjects who unite (e.g. through mass protest) can become players.

3 Example: KDMP stakeholders in Sawah Makmur Village

Pak Sarwono is leading the set-up of a Koperasi Desa Merah Putih (KDMP, a village cooperative) in Sawah Makmur Village. It will buy farmers' grain, be funded by a state-bank loan, and needs village land.

Group	Who	Why here
Players (high power, high interest)	The village council (BPD); middlemen and rice-mill owners; BUMDes (village enterprise) and farmer groups	**BPD:** must approve use of village land and the Village Fund allocation; worried that KDMP loan repayments may cut the village infrastructure budget. **Middlemen:** control farmers' debt networks and grain-buying channels; risk losing supply and margins. **BUMDes and farmer groups:** run seed and fertiliser distribution; worry about business overlap and losing members.

Subjects (low power, high interest)	Small farmers and farm labourers (about 700 households); village youth and sports-field users	**Farmers:** income depends heavily on KDMP vs middleman grain prices, but they're tied by debt to middlemen and have no formal vote. **Youth:** risk losing the village's only sports field if the KDMP building goes there, but aren't invited to the location meetings.
Context setters (high power, low interest)	State banks and the ministry; district and sub-district heads	Approve the credit ceiling (IDR 3bn) and disbursement conditions, but focus on national regulatory compliance and stay out of daily village conflicts.
Crowd (low power, low interest)	Non-farmer residents and neighbouring villages	No vote in KDMP or Village Fund discussions; their livelihoods don't depend on rice or on the repurposed facilities.

! **Strategic warning**

Subjects can unite and become players. If 700 farming households or the village youth organise a protest, their power jumps.

Pak Sarwono's negotiation steps:

1. **Priority 1 · Players → collaborate.** Engage the BPD, farmer groups and middlemen to agree profit-sharing and a division of business units, for a win-win outcome.
2. **Priority 2 · Context setters → meet requirements.** Present a solid business feasibility study to secure the state-bank loan.
3. **Priority 3 · Subjects → consult and educate.** Explain KDMP's benefits to farmers, and offer alternative locations for youth sports.
4. **Priority 4 · Crowd → inform.** Post regular updates on the village-office notice board, without spending negotiation energy.

≡ **Link to the golden rule**

Middlemen can hurt the KDMP (cut grain supply) and can help (their buying network). So they're brought in as partners (e.g. given a role as KDMP collectors), not treated as enemies.

4 The four negotiation traps

Trap	Meaning	Example	How to prevent it
1 · Lose–lose	Leaving money on the table: the realised pie is smaller than the potential pie	Two divisions fight over one budget and stop at a 50:50 split, when sharing schedule information would have let both use the budget at different times	Ask about interests, not positions; find extra issues to trade
2 · Winner's curse	Settling for too little: the other side agrees at once, a sign you asked for too little	Selling a used item and the buyer agrees instantly without haggling	Research market value and the other side's limits before opening
3 · Hubris	Walking away when the offer is inside the agreement zone, better than your BATNA	Rejecting a car offer above your minimum just to "win"	Write down your BATNA and reservation price before starting; compare every offer with them
4 · Agreement bias	Agreeing to terms worse than your current situation	Accepting an offer below your minimum because you're tired or want it over	The same: fix your reservation price; be ready to walk away below it

Trap 1 and the value of commitments (promises). Payoff matrix (Bob, Neil):

	Neil strategy 1	Neil strategy 2
Bob strategy 1	0, 0	2, −1
Bob strategy 2	0, 0	1, 1

Strategy 1 looks better for Bob (he could get 2). But Neil knows: if he picks strategy 2 and Bob picks 1, Neil loses –1. So Neil plays strategy 1 to be safe, and both get 0. The only way Bob gains anything is to **promise** to pick strategy 2, so Neil dares to pick strategy 2 and both get 1. A credible promise turns lose-lose (0, 0) into win-win (1, 1).

Trap 2: the winner's curse comes from *incomplete information*: if your proposal is accepted at once, you probably asked for too little.

Traps 3 and 4 are shown with selling a used car (you're the seller). The agreement zone lies between the *seller's minimum price* and the *buyer's maximum price*.

Agreement bias

The buyer offers less than your minimum and you accept anyway: a deal worse than your current situation.

vs

Hubris

The buyer offers a price inside the zone and you walk away: losing a deal better than your BATNA.

5 Rational negotiation: creating and claiming value

The integrative approach

Creating a **bigger total pie** for everyone. It pushes the agreement out to the *frontier* (the outer edge of all possible agreements), so no money is left on the table.

vs

The distributive approach

Claiming a **bigger share of the pie**. It decides where along the frontier the agreement lands.

Rational negotiation uses **both**: integrative first to grow the pie, then distributive to split it. Picture a chart with party A's utility on the horizontal axis and party B's on the vertical: integrative moves the deal out to the frontier; distributive moves it along the frontier.

Negotiation as a core leadership competency: a key communication and influence tool for interdependent relationships, inside and outside the company. Most people aren't very good at it: **over 80% of executives and**

CEOs leave money on the table, and they don't realise it. The challenge is to sharply improve the ability to create value, claim value and build trust, grounded in economics and psychology research.

An effective negotiator: individual level	An effective negotiator: company level
Getting valued resources (money, people, projects)	Profitable deal-making (an effective sales force)
Maintaining and building relationships	Positive rather than negative press
Enhancing your reputation	Enhancing the company's reputation
People trust you	Building the brand
Peace of mind	

Most outcomes in this table go beyond the deal itself; they're built through relationships and trust.

Key takeaways

1. The golden rule: people negotiate only if you can help (have what they need) or hurt (have what they fear).
2. Hitchhiker: without the power to help or hurt you're weak; giving directions opens a negotiation.
3. Power–interest grid: players (work closely), context setters (keep satisfied), subjects (keep informed), crowd (minimal effort).
4. Power indicators: legal/decision authority, resource control, market/social influence. Interest indicators: economic impact, access to public facilities, emotional involvement.
5. KDMP Sawah Makmur: players = BPD, middlemen, BUMDes/farmer groups; subjects = small farmers, youth; context setters = state banks, ministry, district/sub-district heads; crowd = non-farmer residents.
6. Subjects who unite can become players.
7. Four traps: lose-lose (money left on the table), winner's curse (asking too little), hubris (walking away from an offer better than your BATNA), agreement bias (agreeing below your current situation).
8. A credible promise can turn lose-lose (0,0) into win-win (1,1).
9. Rational negotiation = integrative (grow the pie, push to the frontier) + distributive (claim a share along the frontier).
10. Over 80% of executives leave money on the table; effective negotiators also build relationships, reputation and trust.

Case studies

Case & worked answers

Case: Mrs. Lee's leave of absence

Mrs. Lee is an environmental analyst at a consulting firm. She's working on the environmental analysis of a seabed-mining project (supervisor: Mr. Turbo) and will be assigned to a waste-to-energy power plant analysis under Mr. Hawke. She wants a vacation right after the mining project ends, just as Mr. Hawke's project starts.

Mrs. Lee

Says: "Can I take leave for a vacation?"
Thinks: "I'm valuable to the company; if refused, I could threaten to quit. But I enjoy my work and my colleagues."

vs

Mr. Hawke

Says: "No. I need you on the waste-burning power plant project."
Thinks: "I don't want to set a precedent for an implied 'leave on request' policy."

Analysis (a sample, not an official key):

1. **Interests behind positions:** Mrs. Lee needs a break and wants to stay happy at work. Mr. Hawke needs a capable analyst at the project's start and wants no precedent.
2. **Help/hurt:** Mrs. Lee can help (expertise, continuity from the mining project) and can hurt (threatening to quit). But the threat isn't credible and damages the relationship, since she likes her job. Mr. Hawke can help (approve leave, adjust the schedule) or hurt (refuse, judge her performance).
3. **Avoid the traps:** threatening to quit can end lose-lose (she loses a job she likes, he loses an analyst). Simply accepting "no" is agreement bias if her BATNA (e.g. an acceptable leave at another time) is better.
4. **Integrative approach:** add issues to trade, e.g. move the leave to after the power-plant project's first phase, prepare the analysis framework and a handover before leaving, or involve Mr. Turbo to finish the mining project sooner.
5. **Address the precedent worry:** frame the leave as an exception tied to a project milestone (e.g. approved because the early deliverables are done), not "leave on request".

Practice questions

Try answering first. The answer key is below each question.

1. According to the golden rule, people will negotiate with you if…

A. You're more senior
B. You can help or hurt them
C. You ask politely
D. You have a written contract

Answer: B. You have something they need or something they fear.

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2. Why is a hitchhiker nobody talks to in a weak position?

A. Because it's hot
B. Because he can neither help nor hurt the drivers
C. Because he has no money
D. Because the road is empty

Answer: B. Others have no incentive to negotiate.

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3. In the food-order case, "recommending the restaurant to others" is how we…

A. Hurt the restaurant
B. Help the restaurant
C. Cancel the order
D. Ask for a discount

Answer: B. Spreading a bad review is how we hurt them.

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4. Stakeholders with high power and high interest are…

A. Subjects
B. Players
C. Context setters
D. Crowd

Answer: B. Players: negotiate and work closely.

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5. The strategy for context setters (high power, low interest) is…

A. Minimal effort
B. Keep informed
C. Keep satisfied
D. Work closely

Answer: C. They can cancel, but don't follow daily matters.

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6. These are power indicators, EXCEPT…

A. Sign-off or budget approval
B. Ownership of land or funds
C. Emotional readiness to protest
D. Control of local supply chains

Answer: C. Emotional involvement is an interest indicator.

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7. In the KDMP case, why are the middlemen players?

A. They own the bank
B. They control farmers' debt networks and grain channels, and risk losing margins
C. They sit on the BPD
D. They aren't affected

Answer: B. High power (market control) and high interest (supply and margins).

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8. In the KDMP case, small farmers (about 700 households) are…

A. Players
B. Subjects
C. Context setters
D. Crowd

Answer: B. High interest (income depends on grain prices), low power (debt-bound, no formal vote).

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9. State banks that approve the IDR 3bn credit ceiling but stay out of daily village conflicts are…

A. Players
B. Subjects
C. Context setters
D. Crowd

Answer: C. Pak Sarwono's step: present a solid feasibility study (meet requirements).

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10. The strategic warning about subjects is…

A. They never matter
B. They can unite and become players
C. They should be ignored
D. They have a veto

Answer: B. E.g. through mass protest or public resistance.

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11. Pak Sarwono's step for youth who use the sports field is…

A. Ignore them
B. Consult them and offer an alternative location
C. Report them to the district head
D. Give them profit-sharing

Answer: B. Subjects → consult and educate.

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12. Your offer is accepted at once without haggling. You probably fell into…

A. Hubris
B. The winner's curse
C. Agreement bias
D. Lose-lose

Answer: B. Caused by incomplete information: you asked for too little.

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13. The buyer offers inside the agreement zone, but you walk away to "win". This is…

A. Agreement bias
B. Hubris
C. The winner's curse
D. Integrative bargaining

Answer: B. Losing a deal better than your BATNA.

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14. Accepting an offer below your own minimum is…

A. Hubris
B. Agreement bias
C. The winner's curse
D. Commitment

Answer: B. A deal worse than your current situation.

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15. Bob–Neil matrix: without a promise both get (0, 0). With Bob's promise to pick strategy 2, the outcome is…

A. (2, –1)
B. (1, 1)
C. (0, 0)
D. (–1, 2)

Answer: B. A credible promise lets Neil safely pick strategy 2.

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16. The integrative approach in negotiation means…

A. Claiming a bigger slice
B. Growing the total pie for everyone
C. Giving in to finish fast
D. Using threats

Answer: B. It pushes the deal to the frontier; distributive picks the spot along it.

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17. According to the slides, what share of executives and CEOs leave money on the table?

A. About 20%
B. About 50%
C. Over 80%
D. Almost none

Answer: C. And they don't realise it.

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18. In Mrs. Lee's case, why is threatening to quit a poor choice?

A. Because she isn't valuable
B. Because it isn't credible (she likes her job) and can end lose-lose
C. Because it's illegal
D. Because Mr. Hawke would agree

Answer: B. Better to find shared interests and issues to trade.

Sources

- P3MD MK5 Week 10 — Rational Negotiation and Stakeholder Analysis